



PRIMECARE INSURANCE HEALTH INSURANCE POLICY RULES & REGULATIONS

📌 Version 2.0

📅 Effective: December 13, 2025

📄 Premium Calculation Guidelines



EXECUTIVE SUMMARY

★ KEY UPDATES IN VERSION 2.0

This document serves as the authoritative reference guide for premium calculation in health insurance policies. It establishes standardized rules, regulations, and procedures that insurance agents must follow when determining individual premium rates and enabling better risk assessment through expanded brackets.

- ✓ **Under 18 Age Bracket (NEW):** Base rate ₹250/₹1L | Smoker: 1.3x-2.0x | BMI: 1.15x-1.8x | Max discount: -15%
- ✓ **Smoking/Tobacco (5 Levels):** Non-Smoker → Occasional 1-5/day → Regular 5-15/day → Heavy 15-25/day → Very Heavy 25+/day
- ✓ **Alcohol Consumption (5 Levels):** Non-Drinker → Mild 1-7/week → Moderate 8-14 → Heavy 15-28 → Very Heavy 28+ with mandatory liver tests
- ✓ **BMI Classifications (5 Categories):** Normal (18.5-29.9) → Overweight (30-34.9) → Obese I (35-39.9) → Obese II (40-44.9) → Obese III (45+)

1 AGE-BAND BASED MORBIDITY RATES (UPDATED)

The following table establishes base morbidity rates per ₹1 Lakh of Sum Insured by age band. These rates form the foundation for all premium calculations:

Table 1: Age-Band Based Morbidity Rates

Age Band (Years)	Base Rate (₹ per ₹1L SI)
Under 18	₹250
18-25	₹400
26-35	₹500
36-45	₹800
46-55	₹1,400
56-65	₹2,500

2 SMOKING/TOBACCO LOADING FACTORS

Applicants who smoke cigarettes, cigars, or consume tobacco products in any amount are subject to loading factors based on consumption frequency and age band. The following table presents detailed loading factors:

Table 2: Smoking/Tobacco Loading Factors by Age Band

Age	Non-Smoker	Occasional (1-5/day)	Regular (5-15/day)	Heavy (15-25/day)	Very Heavy (25+/day)
Under 18	1.0x	1.3x	1.5x	1.8x	2.0x
18-25	1.0x	1.3x	1.5x	1.8x	2.0x
26-35	1.0x	1.4x	1.6x	1.9x	2.2x
36-45	1.0x	1.5x	1.8x	2.1x	2.5x
46-55	1.0x	1.6x	2.0x	2.3x	2.6x
56-65	1.0x	1.7x	2.2x	2.5x	2.8x

3 ALCOHOL CONSUMPTION LOADING FACTORS

Alcohol consumption is classified into five levels based on weekly intake. **1 unit = 10ml of pure alcohol.** Mandatory liver function tests (SGOT, SGPT, GGT) are required for Moderate+ consumption levels:

Table 3: Alcohol Consumption Loading Factors by Age Band

Age	Non-Drinker	Mild (1-7)	Moderate (8-14)	Heavy (15-28)	Very Heavy (28+)
Under 18	1.0x	N/A	N/A	Reject	Reject
18-25	1.0x	1.0x	1.15x	1.4x	1.7x
26-35	1.0x	1.0x	1.2x	1.5x	1.9x
36-45	1.0x	1.0x	1.25x	1.6x	2.1x
46-55	1.0x	1.0x	1.3x	1.7x	2.3x
56-65	1.0x	1.0x	1.35x	1.8x	2.5x

4 BMI CLASSIFICATION LOADING FACTORS

Body Mass Index (BMI) is calculated as **Weight(kg) / Height(m)²**. Applicants with BMI ≥ 30 kg/m² are categorized into obesity classes with corresponding loading factors by age band:

Table 4: BMI Classification Loading Factors by Age Band

Age	Normal (18.5-29.9)	Overweight (30-34.9)	Obese I (35-39.9)	Obese II (40-44.9)	Obese III (45+)
Under 18	1.0x	1.15x	1.3x	1.5x	1.8x
18-25	1.0x	1.2x	1.35x	1.6x	1.9x
26-35	1.0x	1.25x	1.4x	1.65x	2.0x
36-45	1.0x	1.3x	1.5x	1.8x	2.2x
46-55	1.0x	1.4x	1.6x	1.9x	2.4x
56-65	1.0x	1.5x	1.7x	2.1x	2.6x

5 VERIFICATION REQUIREMENTS

Smoking/Tobacco Verification

Self-declaration with specification of daily amount. Heavy/Very Heavy smokers may require respiratory assessment. Medical verification is mandatory if inconsistencies are detected in declarations.

Alcohol Consumption Verification

Self-declaration with specification of weekly units (1 drink = beer/wine/peg). For Moderate+ consumption, mandatory Liver Function Tests (SGOT, SGPT, GGT) within 3 months. Very Heavy drinkers require comprehensive liver assessment and hepatology consultation.

BMI Measurement & Verification

Certified weight/height measurement required. Recent health check-up (within 6 months) must be provided. For BMI $\geq 40 \text{ kg/m}^2$, metabolic assessment and diabetes screening are mandatory.

6 PREMIUM CALCULATION EXAMPLE

Multi-Factor Application Example

Applicant Profile:

- Age: 40 years
- Smoker: 20 cigarettes/day (Heavy)
- BMI: 32 kg/m² (Obese I)
- Alcohol: 10 units/week (Moderate)
- Desired Sum Insured: ₹10,00,000

Step-by-Step Calculation:

- Base Premium: ₹800 × 10 = **₹8,000**
- Smoker Loading: ₹8,000 × 2.1 = **₹16,800**
- BMI Loading: ₹16,800 × 1.5 = **₹25,200**
- Alcohol Loading: ₹25,200 × 1.25 = **₹31,500**
- Health Add-on: ₹3,000 (Hypertension)
- Subtotal: ₹31,500 + ₹3,000 = **₹34,500**
- **Final Annual Premium: ₹34,500 ✓**

7 RISK ASSESSMENT & CLASSIFICATION FRAMEWORK

Risk Threshold Configuration

All applicants are classified into four risk categories based on underwriting factors (health history, lifestyle, medical metrics). Each category triggers specific premium calculations and review protocols:

Table 5: Risk Threshold Configuration

Risk Category	Risk Score Threshold	Definition
DECLINED	≥ 80	Application rejected; unacceptable risk profile
HIGH	50-79	Elevated risk; requires exclusions and restrictions
MEDIUM	25-49	Moderate risk; standard underwriting applies
LOW	0-24	Acceptable risk; standard premium rates

Annual Premium Configuration by Age Band

Base annual premiums (per applicant) are determined by age band and serve as the foundation before applying risk loadings:

Table 6: Annual Premium Configuration by Age Band

Age Band (Years)	Base Annual Premium (₹)
0-18	₹8,000
18-30	₹10,000
30-45	₹15,000
45-60	₹25,000
60-100	₹40,000

Medical Loading Multipliers

Medical loadings are applied to base premiums based on the applicant's risk category, reflecting the severity of health conditions or lifestyle factors:

Table 7: Medical Loading Multipliers by Risk Category

Risk Category	Medical Loading (%)
LOW	0%
MEDIUM	25%
HIGH	60%
DECLINED	Application Rejected



Example Calculation

Applicant age 35 (Base: ₹15,000) with HIGH risk:

- Base Premium: ₹15,000
- Medical Loading: $₹15,000 \times 60\% = ₹9,000$
- **Final Premium: ₹24,000**

8 HUMAN REVIEW TRIGGER CONFIGURATION

👥 Mandatory Human Review Protocols

Certain applications require mandatory manual review by senior underwriters before approval. The following criteria trigger human review:

Table 8: Human Review Trigger Configuration

Trigger Criteria	Review Action Required
High Risk Categories (HIGH, DECLINED)	Mandatory senior underwriter approval
Multiple Flagged Conditions	If applicant has 2+ pre-existing conditions flagged
Medium Risk Score (35+)	Detailed risk assessment required
Inconsistent Declarations	Medical verification mandatory
Sum Insured Anomalies	Coverage reasonableness check

🔧 Human Review Configuration Parameters

Table 9: Human Review Configuration Parameters

Parameter	Value
High Risk Categories	HIGH, DECLINED
Maximum Auto-Flagged Conditions	2
Medium Risk Score Threshold	35
Review Escalation Level	Senior Underwriter
Maximum Review Time	5 business days

9 PLAN RECOMMENDATIONS & COVERAGE MAPPING

📋 Plan Mapping by Risk Category

Based on the applicant's risk assessment classification, specific insurance plans are recommended with corresponding coverage levels and exclusions:

Table 10: Plan Recommendations by Risk Category

Risk Category	Recommended Plan	Coverage Level	Key Features
DECLINED	APPLICATION_DECLINED	None	Rejection letter provided
HIGH	BRONZE_PLAN_WITH_EXCLUSIONS	₹5-10 Lakh	Limited coverage with specific exclusions
MEDIUM	SILVER_PLAN	₹15-25 Lakh	Standard coverage with waiting periods
LOW	GOLD_PLAN	₹25-50 Lakh	Comprehensive coverage, no waiting periods

🛡️ Coverage Details by Plan Type

Table 11: Coverage Details Comparison

Plan Type	Coverage Limit	Co-Pay	Room Category	Critical Illness	Waiting Period
GOLD_PLAN	Up to ₹50,00,000	0%	Private/Deluxe	✓ Covered	Waived
SILVER_PLAN	Up to ₹25,00,000	10%	Semi-Private	✓ (Limited)	90 days
BRONZE_PLAN_WITH_EXCLUSIONS	Up to ₹10,00,000	20%	General Ward	Excluded	180 days

10 ADVANTAGES & FRAUD DETECTION

✓ Better Risk Segmentation

- Smoking levels differentiate casual (1-5/day) from heavy users (25+/day)
- Alcohol levels identify problem drinkers with mandatory testing
- BMI classes capture metabolic risk progression accurately
- Under 18 bracket enables pediatric policies
- Risk scoring framework ensures consistent categorization

🛡 Better Fraud Detection

- Mandatory liver tests catch unreported heavy drinkers
- Respiratory assessment prevents false "occasional" smoker claims
- BMI measurement prevents self-reported inaccuracies
- More granular brackets reduce premium gaming
- Human review triggers catch inconsistent declarations
- Plan mapping enforces appropriate coverage limits

1 1 CRITICAL CHECKPOINTS FOR AGENTS

Under 18 Applicants

- ☐ Verify Date of Birth (with official ID)
- ☐ Collect guardian ID and proof
- ☐ Obtain signed parental consent
- ☐ Require guardian co-signature on all documents

Smoking Status Verification

- ☐ Ask for daily consumption amount
- ☐ Confirm correct category (1-5, 5-15, 15-25, 25+)
- ☐ Apply appropriate loading factor
- ☐ Document cessation claims with 12+ months certificate

Alcohol Consumption Verification

- ☐ Ask weekly drink quantity (1 drink = beer/wine/peg)
- ☐ Classify: None, Mild (1-7), Moderate (8-14), Heavy (15-28), Very Heavy (28+)
- ☐ For Moderate+: Order mandatory liver function tests
- ☐ For Very Heavy: Arrange hepatology consultation

BMI Calculation & Classification

- ☐ Get certified weight and height measurement
- ☐ Calculate BMI = Weight(kg) / Height(m)²
- ☐ Classify obesity class correctly

- ☐ Apply age-band specific loading
- ☐ For BMI ≥ 40: Mandatory metabolic and diabetes screening

 Risk Assessment & Plan Selection

- ☐ Calculate composite risk score from all factors
- ☐ Classify applicant into risk category (LOW, MEDIUM, HIGH, DECLINED)
- ☐ Apply appropriate medical loading
- ☐ Recommend corresponding plan (GOLD, SILVER, BRONZE)
- ☐ Trigger human review if necessary
- ☐ Document all decisions for audit trail

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IMPROVEMENTS SUMMARY

Table 12: Version 2.0 Improvements Summary

Parameter	Previous Version	Version 2.0 Update	Benefit
Age Brackets	5 bands (18-65)	6 bands (Under 18+)	Pediatric policies enabled
Smoking Levels	2 levels	5 levels by frequency	Granular risk segmentation
Alcohol Levels	2-3 levels	5 levels + liver tests	Early problem drinker detection
BMI Classes	2 classes (high/normal)	5 obesity classes	Metabolic risk progression
Verification	Basic self-declaration	Enhanced + mandatory labs	Fraud prevention & accuracy
Risk Assessment	Manual only	Automated scoring framework	Consistent underwriting
Plan Mapping	Ad-hoc assignment	Systematic by risk category	Transparent coverage alignment

1 3 REGULATORY ALIGNMENT & BUSINESS BENEFITS

✓ Regulatory Compliance

- **IRDA Guidelines:**
Evidence-based & actuarially sound
- **Fair Practices Code:**
Transparent disclosure requirements
- **Medical Standards:**
WHO BMI classification + liver tests
- **Data Privacy:**
Full compliance with data protection regulations
- **Non-Discrimination:**
Age, health, and occupational risk only
- **Risk Transparency:**
Clear threshold definitions and review triggers

Business Benefits

- More accurate premium pricing across all risk profiles
- Better fraud detection through mandatory verification
- Opens pediatric health insurance market (Under 18)
- Proactive health intervention (early alcohol/smoker detection)
- Improved application approval consistency
- Enhanced competitive advantage in market positioning
- Reduced claims leakage through proper risk categorization
- Streamlined underwriting with systematic review protocols

Important Notice

All agents and underwriters must strictly adhere to these Policy Rules and Regulations. Non-compliance may result in license suspension or termination. Regular training and certification updates are mandatory for all personnel.

Special emphasis on:

- Proper risk assessment documentation
- Triggering human review when required
- Accurate plan mapping based on risk category
- Mandatory medical verifications for flagged applicants

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